Cambridge Assessment International Education

Cambridge O Level

ECONOMICS **2281/12**

Paper 1 Multiple Choice **May/June 2025**

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

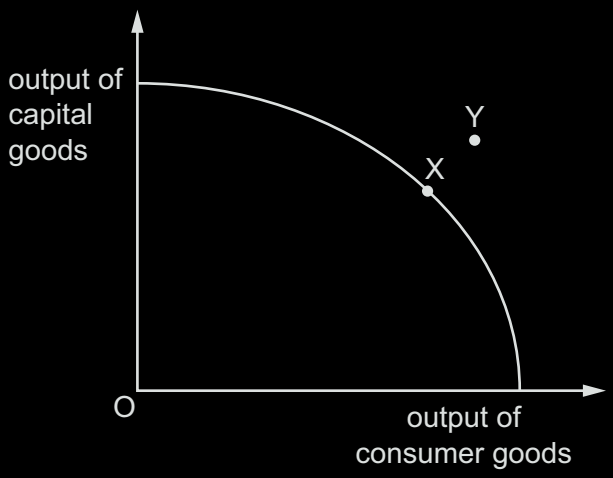
- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A**, **B**, **C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

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[Turn over



Which change in the economy's labour market will allow it to reach point Y?

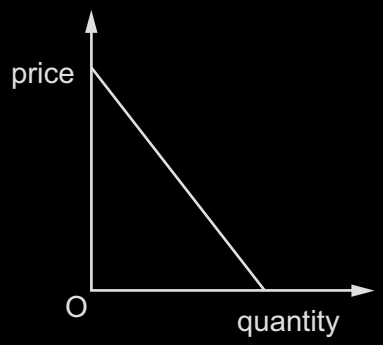
A employed workers become more productive

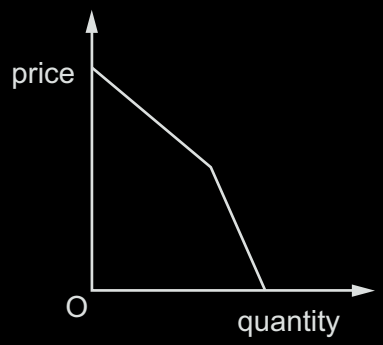
B unemployed workers find new jobs

C workers emigrate for higher wages

D workers retire at younger ages

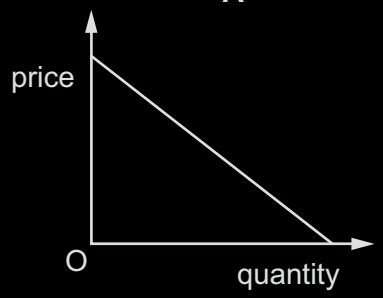
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What will be the shape of the market demand curve for the good?

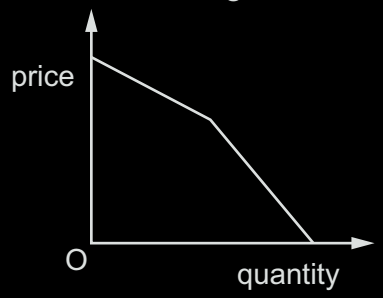
A



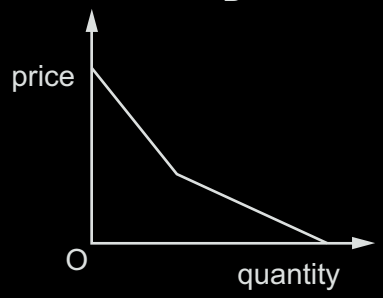
B



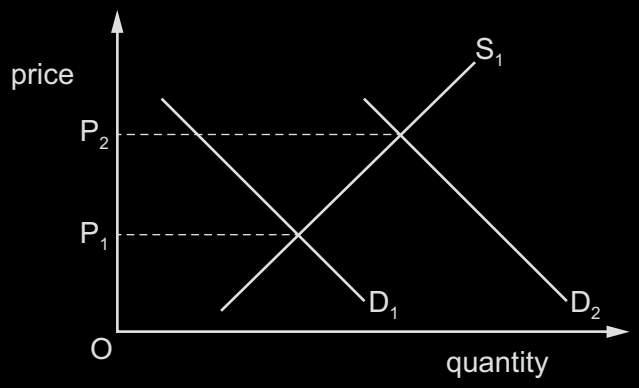
C



D



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If prices had remained at P_1 even during the hot weather, what was likely to have happened in the market for ice cream?

A equilibrium

B excess supply

C rising profits

D shortage

8 The supply of which good is likely to be most price elastic?

	the good is easily stored	time taken to produce the good
A	no	one day
B	no	one year
C	yes	one day
D	yes	one year

9 What is a characteristic of a demerit good?

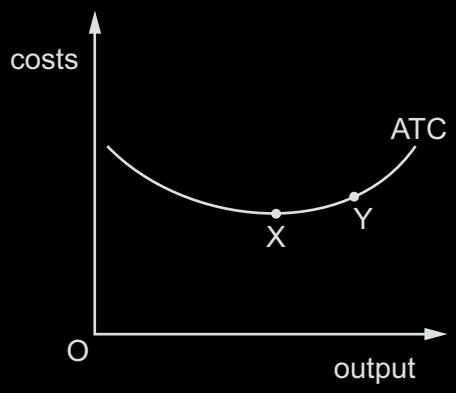
A it is more beneficial to the consumer than they realise

B it is overconsumed in the free market

C it is underproduced in the free market

D it provides external benefits

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Why is the movement from X to Y likely to result from this merger?

A Consumer demand is rising.

B Marketing economies of scale occur at higher levels of output.

C The firm faces problems of co-ordination between departments.

D The firm is negotiating discounts through bulk buying.

12 A restaurant employs two chefs who make all of the meals that are served to customers.

What is most likely to increase the productivity of the chefs?

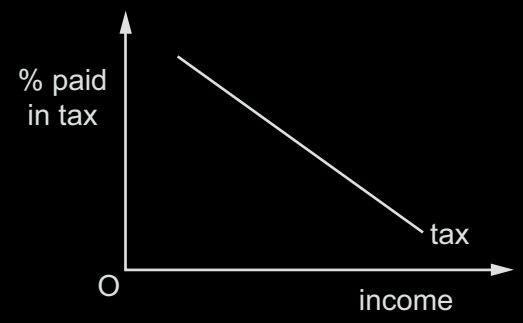
A a decrease in the number of customers in the restaurant

B a decrease in the chefs' pay

C an increase in the quality of the food

D an increase in training for the chefs

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Which term is used to describe the tax?

A indirect

B progressive

C proportional

D regressive

19 What is **not** a likely consequence of a rise in the budget deficit in a year?

A a rise in government borrowing

B a rise in the level of exports

C a rise in the national debt

D a rise in the rate of inflation

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